AGENDA BILL

Agenda Item No. 9.B.

Date:	September 16, 2025
To:	El Cerrito City Council
From:	Claire Coleman, Budget and Financial Services Manager; Crystal Reams, Finance Director/City Treasurer, Finance Department
Subject:	FY 2024-25 Fourth Quarter General Fund Budget Quarterly Update through June 30, 2025

ACTION PROPOSED

Receive and file an update on City General Fund revenues and expenses for FY 2024-25 through June 30, 2025.

BACKGROUND AND ANALYSIS

The El Cerrito City Council adopted an annual Budget for FY 2024-25 on June 18, 2024, as part of the FY 2024-25 and 2025-26 Biennial Budget. The Council has closely monitored the City's budget and financial position and directed City staff to submit quarterly General Fund financial update reports. The attached FY 2024-25 Fourth Quarter General Fund Update reflects the unaudited year-end projections and includes estimated final expenditures.

The report shows the unaudited General Fund revenues at $54,399,021 (105% of budget) and expenditures, including estimated year-end accruals, at a total of $52,816,039 (98% of budget). The projected unaudited year-end total General Fund Balance is estimated to be $24,476,320. This includes $7.5 million designated for the Emergency Disaster Relief Fund (EDRF) and $2.9 million in the Section 115 Trust, and represents 40% of expenditures (excluding the Section 115 Pension Trust) and 45.5% (including the Section 115 Pension Trust).

Staff have calculated these numbers based on the most current information as of the date of the report, but it is important to note that these numbers are unaudited and are subject to change. During the completion of the fiscal year-end close, which is underway, and during the annual independent audit, which is set to take place the first week in October, there may be adjustments to both revenue and expenditures with the verified year-end totals to be included in the Annual Comprehensive Financial Report (ACFR) once it is completed.

STRATEGIC PLAN CONSIDERATIONS

This action supports the City's Strategic Plan Goal(s) of:

- *High Performing Organization* by ensuring the City maintains a strong financial position – and will allow the City Manager to develop a plan to ensure that Citywide revenue meets the cost of providing Citywide services, including adequate reserves in the face of significant unanticipated revenue shortfalls. It further ensures procedures that represent best practices in financial management.

ENVIRONMENTAL CONSIDERATIONS
This section is not applicable to this agenda item.

FINANCIAL CONSIDERATIONS
The unaudited FY 2024-25 General Fund Fourth Quarter Update reflects revenues totaling $54.4 million (105% of budget), and expenditures of a total of $52.8 million (98% of budget). The projected unaudited year-end total fund balance is estimated to be $24.8 million; this includes $7.5 million designated for the EDRF and $2.9 million in the Section 115 Trust.

LEGAL CONSIDERATIONS
This section is not applicable to this agenda item.

Reviewed by:

Alexandra Orologas, Assistant City Manager

Attachments:
1. FY 2024-25 4th Quarter General Fund Update

General Fund Budget Update
Quarter 4 FY 2024-25
04/01/2025 – 06/30/2025

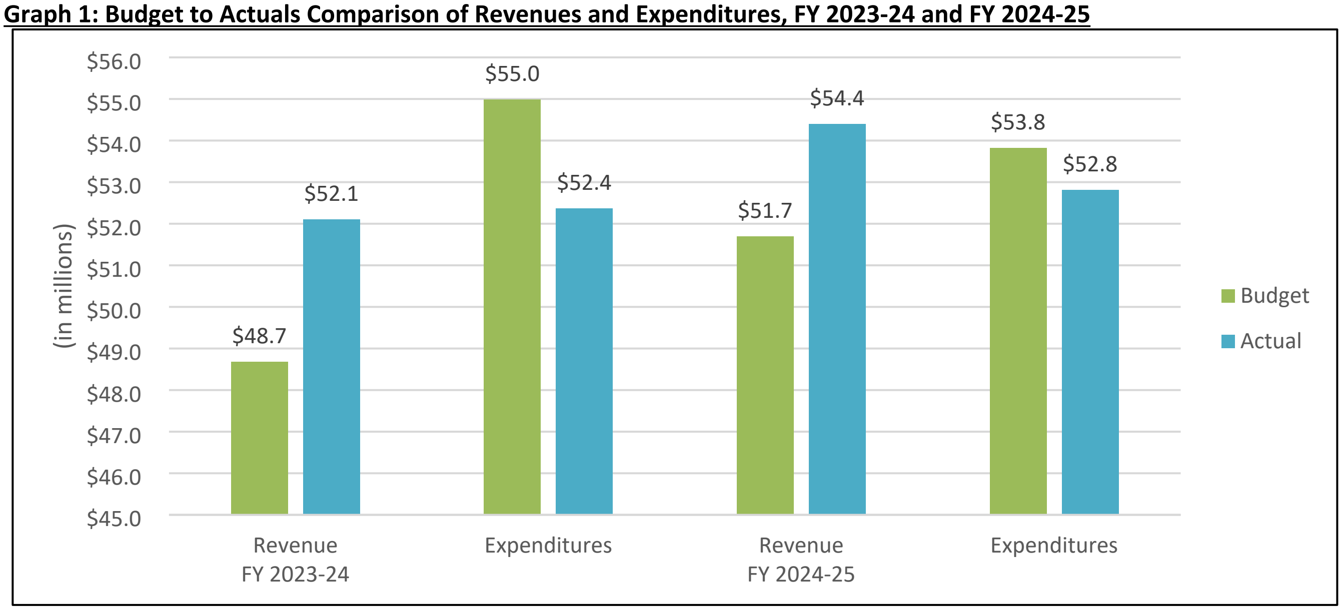
EXECUTIVE SUMMARY

The City of El Cerrito is pleased to submit the fiscal year (FY) 2024-25 Fourth Quarter General Fund Budget Update for the period of April 1 through June 30, 2025. This report provides a high-level overview of the City's budget status, including how revenues and expenditures compared to the budget. All results are preliminary and will be finalized as part of the annual audit process.

The City ended the year with stronger-than-expected revenues and prudent spending, resulting in a healthy surplus. For the year, General Fund revenues totaled $54.4 million, or 105% of budgeted values, while unaudited expenditures ended the year at $52.8 million, or 98% of budgeted values, equating to a projected $1.6 million surplus for Fiscal Year 2024-25. The projected ending General Fund balance as a result of the surplus is estimated at $24.5 million, increasing the City's General Fund reserve balance to 45.5% of expenditures.

Graph 1 shows the overall comparison of budget-to-actuals in FY 2023-24 and FY 2024-25.

Graph 1: Budget to Actuals Comparison of Revenues and Expenditures, FY 2023-24 and FY 2024-25



These results are preliminary, as staff are currently working to complete the annual year-close and audit process. Final audited results will be brought to the City Council and public for review in early 2026 after the annual audit is complete.

BUDGET-TO-ACTUALS RESULTS

During the budget development process, the Finance Department aims to develop revenue and expenditure projections that are as accurate as possible to ensure the City's long-term financial sustainability. In each revenue and expenditure table, one column shows how actual results compared to the budget in FY 2023-24, and another column reflects the same for FY 2024-25. These columns show the level of budget accuracy – how close the actuals were to the budgeted amounts. In FY 2023-24, actual revenues were 7% above budget and actual expenditures were 5% below budget. In FY 2024-25, preliminary actual revenues were 5% above budget and preliminary expenditures were 2% below budget.

During budget development for FY 2023-24, the City was still experiencing residual impacts from the COVID-19 pandemic, which created lingering economic uncertainty. At the same time, the Finance Department had significant vacancies, including both the Finance Director/City Treasurer and Budget/Financial Services Manager positions. Staff across different departments collaborated to develop a budget using the best information available at the time. However, many revenues ended up significantly outpacing budget for the fiscal year. During the biennial budget development process for FY 2024-25 and FY 2025-26, the now fully-staffed Finance Department, in collaboration with the City Manager's Office and all departments, overhauled the revenue forecasting and budgeting process. This included incorporating custom expert forecasts in key areas where available at little or no additional cost to the City. As a result, the preliminary FY 2024-25 budget-to-actuals results show revenues that align much closer to budget than the prior fiscal year, reflecting a higher degree of budgeting accuracy.

The final column in each table shows the percent change in actuals year-over-year, which reflects the total amount that revenues changed from FY 2023-24 to FY 2024-25. While these numbers are preliminary for FY 2024-25 until the annual audit is complete, the results reflect increases in most major revenue types. Detail by revenue type is presented in the next section.

GENERAL FUND REVENUES

For FY 2024-25, General Fund revenues exceeded budget by approximately 5% across all revenue categories. Combined tax revenues were 4% above budget.

Table 1 shows General Fund revenues by classification for FY 2023-24 and FY 2024-25.

Table 1: Quarter 4 General Fund Revenue by Classification

Revenue Classification	FY 2023-24			FY 2024-25			% Change in Actuals FY24 to FY25
	Amended Budget	Actuals	% of Budget	Amended Budget	Projected Actuals	% of Budget	
Property Taxes	$11,417,064	$12,557,243	110%	$16,461,935	$16,726,971	102%	33%
Sales Taxes	3,998,666	4,406,504	110%	4,517,790	4,832,407	107%	10%
Measure R Sales Tax	3,855,000	4,322,227	112%	4,459,000	4,324,360	97%	0%
Transient Occupancy Taxes	150,000	89,451	60%	100,000	115,058	115%	29%
Franchise Taxes	1,400,000	1,854,939	132%	1,380,000	1,587,267	115%	-14%
Business License Taxes	1,150,600	1,128,561	98%	1,182,817	1,176,343	99%	4%
Property Transfer Taxes	3,300,000	3,129,523	95%	3,000,000	3,207,242	107%	2%
Utility Users' Taxes	3,520,000	4,015,551	114%	3,694,260	4,206,762	114%	5%
Other Taxes	1,500	5,936	396%	1,500	57	4%	-99%
Taxes Totals	**$28,792,830**	**$31,509,937**	**109%**	**$34,797,302**	**$36,176,468**	**104%**	**15%**
Licenses & Permits	$1,284,618	$1,272,849	99%	1,007,000	1,414,521	140%	11%
Fines & Forfeitures	145,000	231,231	159%	130,000	198,861	153%	-14%
Use of Money and Property	584,073	1,003,514	172%	957,000	1,256,787	131%	25%
Intergovernmental Revenues	8,393,092	8,898,568	106%	5,334,401	6,180,922	116%	-31%
Charges for Services	7,594,420	7,423,701	98%	7,839,237	7,428,343	95%	0%
Other Revenue	911,748	791,244	87%	630,000	733,244	116%	-7%
Other Financing Sources	977,182	977,182	100%	1,002,039	1,009,876	101%	3%
Totals	**$48,682,963**	**$52,108,226**	**107%**	**$51,696,979**	**$54,399,021**	**105%**	**4%**

Taxes

Property Taxes exceeded budget by 2%. The large increase in property taxes from FY 2023-24 to FY 2024-25 is primarily due to a reclassification of Property Tax-in-Lieu-of-Vehicle License Fee (VLF) revenues, which had previously been classified as Intergovernmental revenues. This reclassification also explains the large decrease in Intergovernmental revenues for the same period. Staff develop the revenue projections for Property and Sales/Transactions and Use Taxes using customized forecasts developed by HdL. Property taxes are a highly stable revenue source that rarely declines year over year, while Sales Taxes are much more volatile and harder to forecast.

Sales and Use Taxes exceeded budget by 7% in FY 2024-25, while Measure R Transactions and Use Tax (TUT) revenues received were below budget by 3%. The first is the 1% Bradley Burns sales tax, which is reported separately from the Measure R TUT. While the two forms of sales tax have many similarities, there are slight differences in how they are applied to online purchases, resulting in the difference in performance. The 1% Bradley Burns sales tax exceeded budget primarily due to an adjustment in countywide pools during the fiscal year. In FY 2024-25, El Cerrito outperformed statewide and local trends in sales taxes, largely due to strong local business performance, local online purchasing, and El Cerrito's unique balance of types of businesses. Despite this, HdL recommends continued caution given current economic uncertainty .HdL suggests that some of the strong sales tax returns this summer may reflect panic buying ahead of potential tariff increases, and the potential for a broader economic downturn in the near future.

Transient Occupancy Taxes (TOT), also known as hotel taxes, comprise a very small component of El Cerrito's budget. This is due to the small number of hotel/motel businesses in the city. Staff revised projected TOT revenues down to $100,000 during the FY 2024-25 budget process based on trends, and actual revenues received exceeded this revised budget by 15%. Absent a new hotel or motel business, or a change in the tax rate after a vote of the public, this will remain a small revenue source in El Cerrito.

Business License Taxes came in almost exactly on budget for FY 2024-25 and increased 4% over the prior fiscal year. Business license taxes are paid primarily at the beginning of the fiscal year by anyone doing business in El Cerrito. As per El Cerrito Municipal Code, the Business License Tax rate increases by inflation as calculated by the change in consumer price index (CPI) each fiscal year.

Property Transfer Taxes (RPTT) exceeded budget by 7% in FY 2024-25, an increase of 2% over the prior fiscal year. Staff decreased the revenue budget for RPTT from the prior fiscal year due to a trend of decreasing revenue of this type and a challenging housing market. While the housing market continues to stagnate due to high interest rates and economic uncertainty, a steady number of properties continue to change ownership annually. The City does not receive an expert forecast for estimating Property Transfer Tax. Given that RPTT is a highly volatile and unpredictable revenue source, staff continue to monitor market trends and aim to budget reasonably but conservatively in this area.

Utility Users Taxes (UUT) exceeded budget by 14% for FY 2024-25 due to increasing water and electrical rates. Telecom UUT revenues continue to decline as residents "cut the cord" and eliminate cable television subscriptions and landline use. Staff develop the revenue budget for UUT using historic receipts and trends, but mid-year utility rate changes by PG&E and unpredictable utility usage rates make forecasting challenging. In 2024, El Cerrito contracted with HdL for UUT administration and collections services, improving both revenue capture and forecasting accuracy.

Other Revenue

While taxes comprise the majority of El Cerrito's revenues, other revenue sources also provide important funds for services.

- **Licenses and Permits** primarily reflect Community Development permits (building, electrical, mechanical, plumbing). Projections are developed with the Community Development Director, adjusting annually for larger projects. The FY 2023-24 budget was increased to $1.2M based on demand, then reduced to $1M in FY 2024-25. FY 2023-24 ended at 99% of budget, while FY 2024-25 is currently at 140% of budget. No budget amendments were made to account for the revenue increase. FY 2024-25 revenue was $141,672 higher than FY 2023-24. Increased revenues in this category are typically offset by increased expenses (e.g., permit review), since these revenues are limited to cost recovery.

- **Fines & Forfeitures** ended the year 31% above budget. This category includes vehicle citation fees and fines and penalties for late payment of taxes. Staff had decreased the budgeted revenues for FY 2024-25 compared with prior years due to expected Police Department vacancies, but actual citation activity exceeded budget by 60%. Other forms of fines and forfeitures exceed budget by 30% due to penalties received from HdL's enforcement of utility tax payment deadlines.
- **Use of Money and Property** includes interest income and rental charges. The budget increased from $584,000 in FY 2023-24 to $957,000 in FY 2024-25 after a trend analysis showed that the prior budget was overly conservative. Revenues exceeded budget by 31% in FY 2024-25 due to high interest rates and strong market returns. However, interest income continues to be budgeted conservatively due to market volatility.
- **Intergovernmental Revenues** include state reimbursements and funds from other governmental agencies. Intergovernmental revenues ended the year 16% above budget due to higher-than-budgeted state reimbursements for Fire Department support of California Office of Emergency Services (OES) activities and police officer training reimbursed under the California Police Officer Standards and Training (POST) program. This category decreased significantly from FY 2023-24 to FY 2024-25 due to the reclassification of Property Tax-In-Lieu-of-VLF revenues to the Property Tax category in FY 2024-25.
- **Charges for Services** include fees and rentals, including recreation program fees, planning and inspection fees, and other charges for service citywide. This category ended the year 5% below budget primarily due to low permit and inspection activity in the Community Development and Public Works departments.
- **Other Revenue** includes donations, sales of property, some insurance claim reimbursements, and cannabis revenues. This category ended the year 16% above budget due to higher-than-budgeted cannabis revenues and some small insurance claim reimbursements.
- **Other Financing Sources** includes transfers in from other funds for overhead costs supported by the General Fund. This category is largely determined at budget development and ended the year very close to budget.

Table 2 shows General Fund revenues by department for FY 2023-24 and FY 2024-25. The large majority of revenues are received in Non-departmental, primarily from taxes collected. Revenues received in the Community Development and Recreation Departments are primarily from user fees, while Fire Department revenues largely consist of reimbursements for service from Kensington. In FY 2024-25, all Departments exceeded their revenue budgets except for the Public Works Department, due to lower than anticipated permit activity. The Police Department's revenue budget was decreased in FY 2024-25 due to anticipated staff vacancies. However, actual citation activity was higher than budgeted, resulting in revenues 60% above budget.

The Community Development Department's revenues decreased 13% year over year due to lower permit activity, while Recreation revenues increased 17% due to increased program demand and fee increases. Increases in Fire Department revenue are offset by increases in operation costs.

Table 2: Quarter 4 General Fund Revenues by Department

Department	FY 2023-24			FY 2024-25			% Change in Actuals FY24 to FY25
	Amended Budget	Actuals	% of Budget	Amended Budget	Projected Actuals	% of Budget	
Administration	$140,100	$30,013	21%	$11,500	$17,154	149%	-43%
Community Development	2,841,226	2,945,880	104%	2,517,396	2,565,701	102%	-13%
Fire	5,213,592	5,203,903	100%	5,384,101	6,102,310	113%	17%
Non-departmental	34,136,304	37,717,008	110%	37,083,964	38,832,723	105%	3%
Police	214,000	300,172	140%	186,000	299,940	161%	0%
Public Works	664,312	753,049	113%	599,132	571,222	95%	-24%
Recreation	5,473,429	5,158,202	94%	5,914,886	6,009,970	102%	17%
Totals	**$48,682,963**	**$52,108,226**	**107%**	**$51,696,979**	**$54,399,021**	**105%**	**4%**

GENERAL FUND – EXPENDITURES

The City's General Fund expenditures remained within overall appropriations, reflecting ongoing efforts to manage resources efficiently while supporting core services. Overall, the City spent about $53 million from the General Fund, which was 2% less than budgeted. Below is a list of what each classification includes.

- **Personnel**: Full-time and part-time staff salaries and benefits, including pension costs.
- **Purchased Professional & Technical Services**: Outsourced services, consulting services, temporary staffing, software licenses and maintenance.
- **Purchased Property Services**: Utilities, landscape maintenance, janitorial services, and other miscellaneous repair and maintenance services.
- **Other Purchased Services**: Insurance, telephone and internet services, travel and training, dues and subscriptions, and legal notices.
- **Supplies**: Office supplies, medical and safety supplies, uniforms, fuel, employee and volunteer recognition, infrastructure and building supplies, and postage.
- **Property & Capital**: Equipment, vehicles, building maintenance, and capital outlay.
- **Financing Costs**: principal and interest for city debt; licenses, fees, and charges; and bank and credit card fees.
- **Other Financing Uses**: Transfers out of the General Fund.

Table 3 shows General Fund expenditures by classification for FY 2023-24 and FY 2024-25.

Table 3: Quarter 4 General Fund Expenditures by Classification

Expenditure Classification	FY 2023-24			FY 2024-25			% Change in Actuals FY24 to FY25
	Amended Budget	Actuals	% of Budget	Amended Budget	Projected Actuals	% of Budget	
Personnel	$35,358,284	$35,161,589	99%	$38,122,416	$37,880,919	99%	8%
Purchased Professional & Technical Services	7,347,177	6,272,378	85%	5,615,500	5,481,205	98%	-13%
Purchased Property Services	2,846,162	2,213,262	78%	2,748,877	2,458,490	89%	11%
Other Purchased Services	3,558,119	3,432,558	96%	3,927,771	3,874,477	99%	13%
Supplies	940,675	775,412	82%	876,170	784,891	90%	1%
Property & Capital	685,138	324,583	47%	736,513	545,822	74%	68%
Financing Costs	634,368	490,534	77%	539,822	531,615	98%	8%
Other Financing Uses	3,622,194	3,703,548	102%	1,258,329	1,258,620	100%	-66%
Totals	**$54,992,117**	**$52,373,865**	**95%**	**$53,825,399**	**$52,816,039**	**98%**	**1%**

Major expenditure areas including Personnel, Purchased Professional and Technical Services, Other Purchased Services, Financing Costs, and Other Financing Uses ended the year very close to budget. Purchased Professional & Technical Services decreased 13% from the prior year, despite more accurate budgeting for FY 2024-25. This reduction is primarily due to a decrease in consultant services utilized by Community Development, which experienced a decline in permit activity compared to prior years and timing of consulting projects citywide. The decrease in Other Financing Uses from FY 2023-24 to FY 2024-25 is due to lower transfers out of the General Fund for capital projects and deferred maintenance.

Purchased Property Services ended the year at 89% of budget, an 11% increase over the prior year. This is due to reduced repair and maintenance costs as well as a increased set-aside of funds for vehicle replacement.

Table 4 shows expenditures by department for FY 2023-24 and FY 2024-25. Expenditures remained within the adopted spending authority Citywide, ending the year 2% under budget. A separate request will be submitted to roll forward a portion of the unexpended funds for purchases or projects not received or completed by June 30.

Table 4: Quarter 4 General Fund Expenditures by Department

Department	FY 2023-24			FY 2024-25			% Change in Actuals FY24 to FY25
	Amended Budget	Actuals	% of Budget	Amended Budget	Projected Actuals	% of Budget	
Administration	$8,076,150	$7,531,625	93%	$7,972,678	$7,682,777	96%	2%
Community Development	4,892,425	4,267,261	87%	4,168,728	3,847,195	92%	-10%
Fire	14,873,622	14,649,344	98%	15,813,246	16,400,399	104%	12%
Non-departmental	4,111,447	4,045,826	98%	1,382,691	1,438,069	104%	-64%
Police	13,663,610	13,146,401	96%	15,052,742	14,691,514	98%	12%
Public Works	2,849,926	2,616,116	92%	2,481,847	2,322,818	94%	-11%
Recreation	6,524,937	6,117,293	94%	6,953,467	6,433,267	93%	5%
Totals	$54,992,117	$52,373,865	95%	$53,825,399	$52,816,039	98%	1%

City Administration ended the year 4% under budget, in part due to the timing of the Service Delivery Study, which was initiated in FY 2024-25 but will be completed in FY 2025-26. The Community Development Department ended below budget and below prior year actuals due to lower permit activity. Non-Departmental expenditures slightly exceeded budget due to higher principal and interest than budgeted but decreased significantly from the prior fiscal year due to decreased transfers out for capital projects and deferred maintenance.

While the Fire Department ended 4% above budget, this is due to OES-reimbursable overtime from El Cerrito support of major incidents statewide and is offset by the department exceeding revenues by 13%. Staff did not seek a budget amendment since the overall General Fund absorbed the overage while remaining within adopted spending limits.

GENERAL FUND – AMENDMENTS

During FY 2024-25, the City Council approved a number of amendments to the General Fund. These came in three phases – Fall 2024, at the Mid-Year update, and in June 2025 as part of the FY 2025-26 budget adoption process.

In Fall 2024, amendments included the rollover of purchase orders from FY 2023-24 to FY 2024-25 that were incomplete due to timing issues. The Council also approved new contracts with three labor unions: Service Employees International Union 1020 (SEIU), the Police Employees Association (PEA), and the Public Safety Management Association (PSMA).

At the Mid-Year update in March 2025, the Council approved additional budget increases to the budget to support Recreation program and staffing (including childcare, the swim center, youth programs), all of which were offset by revenues. The Council also approved budget increases for vehicle maintenance, higher-than-expected legal and election costs, and library project support.

In June 2025, Council approved one-time uses of fund balance for significant capital needs, including major pool repairs, the purchase of a new fire apparatus, and a citywide service delivery study.

In total, FY 2024-25 amendments increased General Fund spending authority by $2.47 million. These increases were partly offset by $310,535 in new revenues and an originally projected surplus of $33,952, which suggested a year-end deficit of $2.1 million. However, stronger than anticipated revenues and lower spending produced a preliminary surplus of approximately $1.6 million. Table 5 shows the approved amendments and their respective budget impacts.

Table 5: Amendments to General Fund During FY 2024-25

Department	Description	Amount
	Prior to Mid-Year Amendments	
Various Departments	Purchase Order Budget Roll-forward	$ 603,425
Various Departments	SEIU Contract	36,622
PD & Fire	PEA & PSMA Contract	354,860
	Total	994,907
	Mid-Year Amendments	
Recreation	Childcare Program	115,000
Recreation	Swim Center Staffing	50,000
Recreation	Youth Program Instructors	60,000
City Clerk	Election and Document Management	18,000
Fire	Vehicle Maintenance	95,000
Human Resources	Legal Support	60,000
City Manager's Office	Library Project Support	45,000
		443,000
	June Amendments	
Recreation	Pool Repair Project	500,000
Fire	Fire Truck Set Aside	380,000
Finance	Service Delivery Study	120,000
		1,000,000
	Other Adjustments	
Community Development	Conlon Abatement	35,000
	Total Expenditure Increases	**2,472,907**
	Revenues	
Department	**Description**	
Recreation	Recreation Programs	(310,535)
Original Projected Surplus		(33,952)
	Total Revenue Increases	(344,487)
Projected Year-End Change to Fund Balance		**$ 2,128,420**

GENERAL FUND BALANCE

The FY 2023-24 General Fund balance was $22.89 million. Table 6 provides updated projections for FY 2024-25. The projected General Fund balance represents 40% of expenditures (excluding the Section 115 Pension Trust) and 45.5% when the Trust is included.

In June 2025, the Council approved a reallocation of $1.5 million from the Emergency and Disaster Relief Fund (EDRF) to the Section 115 Pension Trust to support long-term pension obligations. At that time, the EDRF was funded above the 13% policy level, allowing for this shift. This change is reflected in Table 6.

According to the City's Comprehensive Financial Policy, the minimum required General Fund Reserve is 17% of expenditures, or $9.1 million. Based on current projections, the City will have $4.8 million in discretionary reserves for FY 2025-26.

Table 6: Quarter 4 General Fund Balance

Fund Balance Projection		
FY24 General Fund - Total Fund Balance (actual)		**$ 22,893,338**
EDRF	(9,000,000)	
Section 115	(1,372,890)	
Non-Spendable	(126,751)	
FY25 Projected Revenue	54,399,021	
FY25 Projected Expenditures	(52,816,039)	
Change in fund balance		1,582,982
Projected Total Ending FY25 Fund Balance		24,476,320
EDRF (Internally Restricted)	(7,500,000)	
Section 115 (Restricted)	(2,872,890)	
Non-Spendable	(126,751)	(10,499,641)
Projected FY25 Unrestricted Fund Balance		13,976,679
FY26 Expenditure Proposed Budget	53,764,017	
FY26 17% Reserve Goal		(9,139,883)
Projected discretionary for FY26		4,836,796
FY 25 Projected Ending Total Fund Balance		**24,476,320**
Projected unassigned (less Section 115)		21,603,430
Projected unassigned percent		40%

Section 115 Pension Trust and Non-Spendable amounts shown here reflect FY 2024 values; FY 2025 balances will be updated after audit.

CONCLUSION

Staff continue to refine forecasting methods and align the budget more closely with actual results and economic trends. Departments remain fiscally prudent and closely monitor spending throughout the year. For FY 2024-25, El Cerrito received revenues 4% above budget and held expenditures 2% below budget, resulting in a preliminary projected surplus of $1.6 million. Staff project that the City will end FY 2024-25 in a strong financial position, with a total General Fund balance of $24.4 million. These totals will be finalized during the upcoming annual audit process and will be presented to the City Council in early 2026.